Company Update

Retail Equity Research

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Astra Microwave Products Ltd.

Accumulate

Sector: Communication Equipment

25th March 2026

Key Changes	Target		Rating		Earnings
Stock Type	Bloomberg Code	Sensex	NSE Code	BSE Code	Time Frame
Small Cap	ASTM:IN	74,068	ASTRAMICRO	532493	12 Months

Target	Rs.1,068
CMP	Rs.914
Return	+17.0%

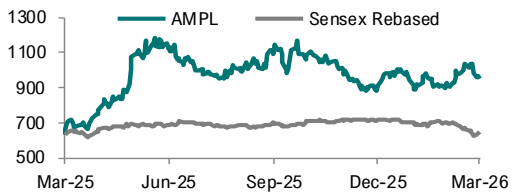
Data as of: 24-03-2026, 18.00 hrs

Company Data	
Market Cap (Rs. cr.)	8,677
52 Week High — Low (Rs.)	1,196–629
Enterprise Value (Rs. cr)	9,081
Outstanding Shares (Rs cr)	9.5
Free Float (%)	89.0
Dividend Yield (%)	0.23
6m average volume (cr)	0.07
Beta	1.1
Face value (Rs)	2.0

Shareholding (%)	Q1FY26	Q2FY26	Q3FY26
Promoters	6.5	6.5	6.5
FII's	6.5	6.5	6.3
MFs/Institutions	14.4	14.6	14.8
Public	72.6	72.4	72.4
Total	100.0	100.0	100.0
Promoter Pledge	Nil	Nil	Nil

Price Performance	3 Month	6 Month	1 Year
Absolute Return	6.1%	-17.1%	50.0%
Absolute Sensex	-9.3%	-7.2%	1.9%
Relative Return	15.4%	-10.0%	48.1%

*over or under performance to benchmark index



Y.E March (Rs.cr)	FY26E	FY27E	FY28E
Sales	1,158	1,331	1,540
Growth (%)	*10.2*	*14.9*	*15.7*
EBITDA	307	356	412
EBITDA Margin (%)	*26.5*	*26.7*	*26.8*
PAT Adjusted	183	223	275
Growth (%)	*19.4*	*21.5*	*23.3*
Adjusted EPS	19.3	23.5	28.9
Growth (%)	*19.4*	*21.5*	*23.1*
P/E	47.3	39.0	31.7
P/B	6.9	5.9	5.0
EV/EBITDA	29.2	24.9	21.3
ROE (%)	*15.5*	*16.3*	*17.2*
D/E	0.2	0.1	0.0

Author: Anil R - Sr. Research Analyst

Margins expands…order visibility to improve

Astra Microwave Products Ltd. (ASTM) designs and manufactures radio frequency systems and microwave sub-systems used in defence, telecom, and space.

- Revenue growth was flat YoY, primarily due to R&D project delays.
- EBITDA grew by 8% YoY, margins expanded by 80bps YoY to 31.7%, supported by higher margins domestic order execution. Reported PAT declined by 4.5% YoY, despite strong operating performance, as higher depreciation and lower JV profit share offset EBITDA gains.
- The current order backlog stands at Rs.2,226cr, ~1.9x FY26E sales. Order inflow momentum remain healthy, with Rs.852cr booked YTD and an additional Rs.600cr expected in Q4.
- The order pipeline remains promising, with ASTM's total addressable market of Rs.25,000cr through FY27-28E.
- We revise our EBITDA margin estimates upwards by ~150bps and ~173-175bps for FY26E and FY27–28E respectively, reflecting an improving revenue mix skewed toward higher margins products.

Outlook & Valuation

ASTM is poised for a strong multi-year growth cycle, with revenues expected to double over the next 3–4 years as serial production scales up across key programs such as QRSAM, Uttam AESA radars, Su-30 EW upgrades, and Virupaksa. Equally important, the margin trajectory continues to strengthen: EBITDA margins have expanded sharply from ~12% in FY22 to ~25.4% in 9MFY26, supported by a favorable shift in the execution mix toward high margin indigenous products. While the bulk of earnings acceleration remains back-ended (FY27–FY30), **ASTM's deep technological capabilities and its strong alignment with India's defense indigenization agenda position it well for sustained long-term growth. We value the stock at P/E of 37x FY28E EPS and maintain Accumulate rating on the stock, with a target price of Rs.1,068.**

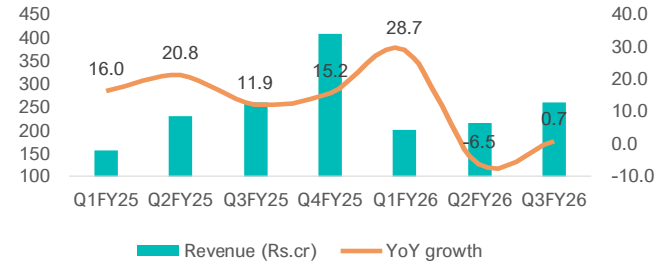
Quarterly Financials Consol.

Rs.cr	Q3FY26	Q3FY25	YoY (%)	Q2FY26	QoQ (%)	9MFY26	9MFY25	YoY (%)
Sales	260	259	*0.7*	215	*21.3*	675	643	*4.9*
EBITDA	83	76	*8.3*	48	*72.5*	171	149	*14.6*
EBITDA (%)	31.7	29.5	224bps	22.3	942bps	25.4	23.2	*217bps*
EBIT	71	67	*6.7*	38	*88.4*	141	126	*12.0*
PBT	61	54	*13.7*	30	*104.3*	111	94	*17.9*
Rep. PAT	47	47	*(1.3)*	24	*95.8*	87	80	*8.7*
Adj.PAT	47	49	*(4.5)*	24	*95.8*	87	82	*6.6*
EPS (Rs)	4.9	5.2	*(4.5)*	2.5	*95.8*	9.2	8.6	*6.6*

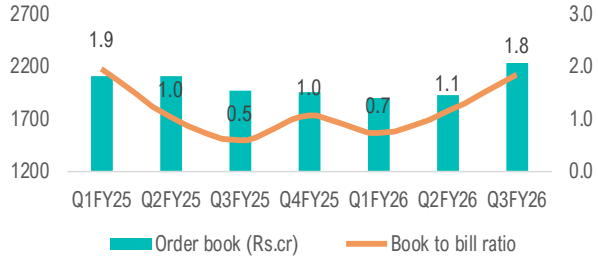
Key Concall Highlights

- Revenue guidance maintained at ~Rs.1,1500cr for FY26E; order inflow guidance ~Rs.1,400cr for the year; Q4 expected orders of ~Rs.450cr from defence and ~Rs.120cr from metrology.
- Strong domestic defence orders secured in Q3 (~62% of quarterly orders); majority built-to-spec ensuring higher margins.
- Strategic order wins during the year include EW suites for Su-30MKI (DcPP), weather radars, SDRs, advanced RF and microwave systems.
- FY27E order inflow expected at Rs.1,500+cr: QRSAM and PSU programs, DRDO R&D, EW production orders, exports Rs.100–125cr, space ~Rs50cr.
- Request for proposal (RFP) received for next 97 LCA Mk-1A aircraft (Uttam radar, AAAU, EW components); price negotiations ongoing; contract not yet finalised.
- Management has guided cumulative revenue over next 4–5 years ~Rs.7,500cr; order booking target Rs.8,000–10,000cr over 4 years.

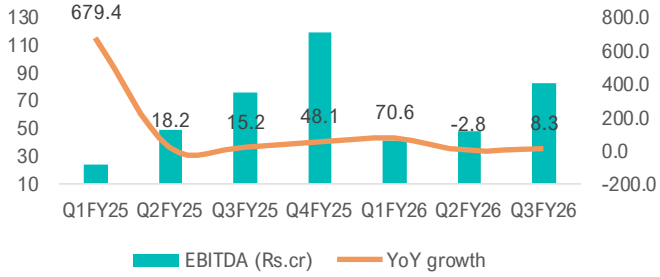
Revenue



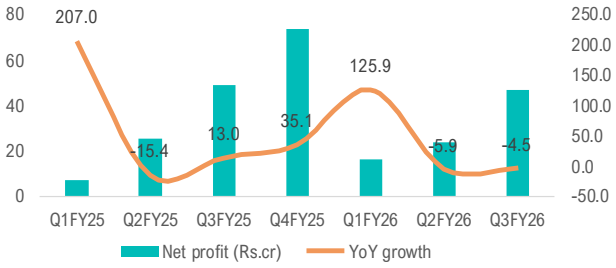
Order backlog



EBITDA



PAT



Change in Estimates

Rs.cr	Old estimates			New estimates			Change (%)		
Year	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**
Revenue	1,200	1,408	1,636	1,158	1,331	1,540	*(3.5)*	*(5.5)*	*(5.9)*
EBITDA	300	352	409	307	356	412	*2.3*	*1.1*	*0.7*
Margins (%)	25.0	25.0	25.0	26.5	26.7	26.8	*150bps*	*173bps*	*175bps*
Adj. PAT	178	230	289	183	223	274	*3.0*	*(3.2)*	*(5.2)*
EPS	18.8	24.2	30.2	19.3	23.5	28.9	*2.7*	*(3.1)*	*(4.4)*

Consolidated Financials

Profit & Loss

Y.E March (Rs.cr)	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**909**	**1,051**	**1,158**	**1,331**	**1,540**
% change	*11.4*	*15.7*	*10.2*	*14.9*	*15.7*
EBITDA	**192**	**269**	**307**	**356**	**412**
% change	*29.8*	*40.4*	*14.1*	*15.9*	*15.8*
Depreciation	25	35	42	46	54
EBIT	**167**	**234**	**265**	**309**	**358**
Interest	31	57	55	54	39
Other Income	12	18	19	25	26
PBT	**147**	**194**	**230**	**280**	**345**
% change	*49*	*32*	*18*	*22*	*23*
Tax	*37.9*	*50.2*	*59.2*	*72.2*	*89.1*
Tax Rate	25.8	25.8	25.8	25.8	25.8
Profit/loss (JV/Asso.)	12	9	13	15	18
Reported PAT	**121**	**154**	**183**	**223**	**274**
Adj*	-	-	-	-	-
Adj PAT	**121**	**154**	**183**	**223**	**274**
% change	*73.4*	*26.8*	*19.4*	*21.5*	*23.1*
No. of shares (cr)	9.5	9.5	9.5	9.5	9.5
Adj EPS (Rs.)	**12.8**	**16.2**	**19.3**	**23.5**	**28.9**
% change	*58.2*	*26.8*	*19.4*	*21.5*	*23.1*
DPS (Rs.)	1.6	2.0	2.0	2.0	2.0

Balance Sheet

Y.E March (Rs. cr)	FY24A	FY25A	FY26E	FY27E	FY28E
Cash	66	25	80	60	24
Accounts Receivable	505	786	730	747	865
Inventories	515	616	646	745	862
Other Cur. Assets	170	148	163	188	217
Investments	24	32	37	45	55
Gross Fixed Assets	353	440	485	535	585
Net Fixed Assets	167	223	226	229	225
CWIP	13	3	3	4	5
Intangible Assets	3	6	6	6	6
Def. Tax (Net)	11	11	11	11	11
Other Assets	0	0	0	0	0
Total Assets	**1,474**	**1,851**	**1,903**	**2,036**	**2,271**
Current Liabilities	138	172	170	176	204
Provisions	14	21	24	28	32
Debt Funds	2,313	4,036	2,781	1,731	881
Other Liabilities	1,240	1,558	1,683	1,927	2,251
Equity Capital	0	0	0	0	0
Reserves & Surplus	947	1,079	1,244	1,447	1,702
Shareholder's Fund	966	1,098	1,263	1,466	1,721
Total Liabilities	**1,474**	**1,851**	**1,903**	**2,036**	**2,271**
BVPS (Rs.)	101	115	132	154	181

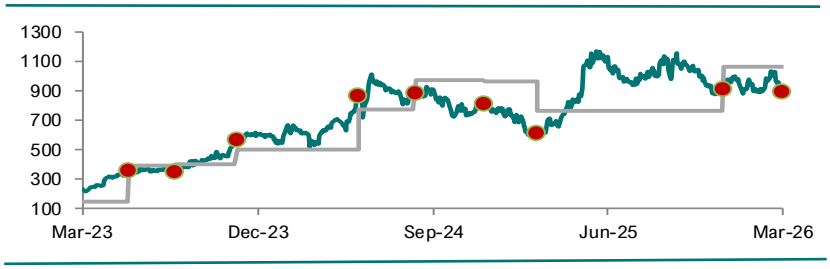
Cash Flow

Y.E March (Rs.cr)	FY24A	FY25A	FY26E	FY27E	FY28E
Net inc. + Depn.	146	189	226	269	328
Non-cash adj.	13	33	35	29	13
Changes in W.C	(340)	(311)	24	(106)	(199)
C.F. Operation	**(182)**	**(90)**	**284**	**193**	**142**
Capital exp.	(44)	(72)	(45)	(51)	(51)
Change in inv.	(13)	(8)	(5)	(8)	(10)
Other invest.CF	7	6	19	25	26
C.F – Investment	**(44)**	**(76)**	**(30)**	**(34)**	**(35)**
Issue of equity	225	-	-	-	-
Issue/repay debt	49	202	(126)	(105)	(85)
Dividends paid	(15)	(19)	(19)	(19)	(19)
Other finance.CF	(19)	(41)	(55)	(54)	(39)
C.F – Finance	**232**	**141**	**(199)**	**(178)**	**(143)**
Chg. in cash	7	(25)	55	(20)	(36)
Closing cash	**66**	**25**	**80**	**60**	**24**

Ratios

Y.E March	FY24A	FY25A	FY26E	FY27E	FY28E
Profitab. & Return					
EBITDA margin (%)	21.1	25.6	26.5	26.7	26.8
EBIT margin (%)	18.3	22.3	22.8	23.2	23.3
Net profit mgn.(%)	14.9	16.8	18.1	19.2	20.7
ROE (%)	15.1	14.9	15.5	16.3	17.2
ROCE (%)	14.3	14.5	14.7	16.5	17.6
W.C & Liquidity					
Receivables (days)	158.4	224.2	238.8	202.6	191.1
Inventory (days)	187.5	196.3	198.9	190.8	190.4
Payables (days)	75.0	98.1	100.6	88.4	83.9
Current ratio (x)	8.2	8.1	8.4	8.5	8.3
Quick ratio (x)	4.1	4.7	4.8	4.6	4.4
Turnover & Leverage					
Gross asset T.O (x)	2.6	2.7	2.5	2.6	2.8
Total asset T.O (x)	0.7	0.6	0.6	0.7	0.7
Int. coverage ratio (x)	5.3	4.1	4.9	5.7	9.1
Adj. debt/equity (x)	0.2	0.4	0.2	0.1	0.1
Valuation					
EV/Sales (x)	9.8	8.6	7.7	6.7	5.7
EV/EBITDA (x)	46.5	33.8	29.2	24.9	21.3
P/E (x)	71.7	56.5	47.3	39.0	31.7
P/BV (x)	9.0	7.9	6.9	5.9	5.0

Recommendation Summary (last 3 years)



Dates	Rating	Target
25.June.21	Reduce	150
05.June.23	Hold	388
16.Aug.23	Accumulate	403
20.Nov.23	Reduce	500
29.May.24	Reduce	775
26.Aug.24	Accumulate	976
12.Dec.24	Buy	976
07.Mar.25	Buy	768
22.Dec.25	Accumulate	1,067
25.Mar.26	Accumulate	1,068

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Not rated/Neutral

Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

Symbols definition: ▲ Upgrade ● No Change ▼ Downgrade

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

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